

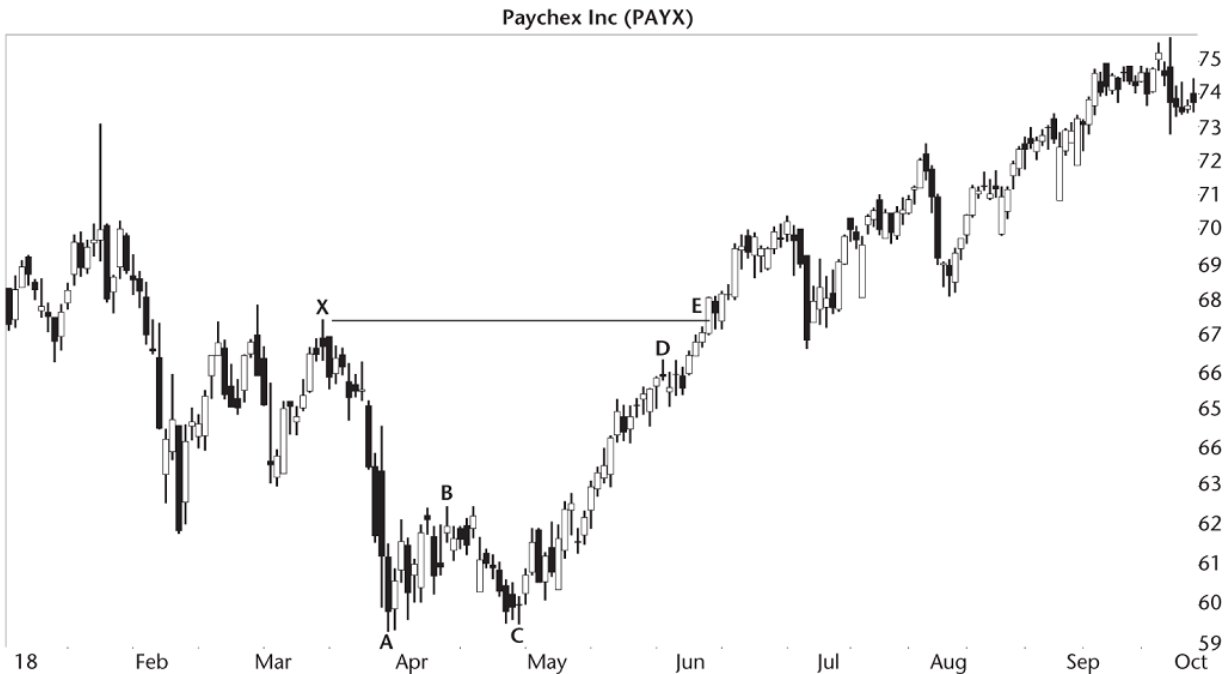


Figure 4.3 This bearish bat isn't bearish at all.

I don't show this situation in [Figure 4.3](#), but if price *does* turn lower at D but drops less than or equal to 5%, then that's also a failure. If you were to trade a pattern with a 5% failure, you'd be hard pressed to make money. The 5% failure rate (also called the breakeven failure rate) is 17.7% for this pattern in bull markets (but just 4.5% in bear markets).

Since I'm throwing around a lot of numbers, let's discuss statistics.

Statistics

[Table 4.2](#) shows general statistics related to the bearish bat pattern.

Number found. Despite using the high–low price range at most of the Fibonacci turns, as I discussed in the Identification Guidelines, few bats appear in the historical price record. I found them in 491 stocks despite searching from June 1991 to August 2019. Not all stocks covered the entire period and some no longer trade.

Breakeven failure rate. I counted the number of patterns which saw price drop no more than 5% after peaking at D (using the high price at D to the ultimate low). The table shows the failure rate. Anything above zero is too